PHILIPPINE VETERANS BANK MODERNIZATION PROGRAM

Board Paper — Authority for Management Validation

Audience Board of Directors and relevant Board committees

Purpose Seek a bounded decision on institutional validation

Derivative status Executive publication derived from the canonical Program

Canonical parent Philippine Veterans Bank Modernization Program

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1. Decision requested

The Board is invited to determine whether Management should be authorized to validate the Philippine Veterans Bank Modernization Program and determine whether one bounded public-assistance disbursement ceremony is suitable for detailed design.

The requested authority is limited to institutional validation and preparation of a later decision paper. It does not authorize implementation, procurement, contracting, system access, integration, production, settlement activity, a public program, or a commercial agreement.

2. Institutional basis

The accepted Program derives from completed Institution Intelligence, Strategic Assessment, and Gap Analysis.

That work established that PVB is simultaneously:

- a private commercial bank;
- a statutory veterans institution; and
- an official government depository.

It also established selected public-finance relevance through government and institutional accounts, public-sector financing, assistance disbursement, collections, gateway and kiosk activity, payroll and pension products, and military-sector relationships.

PVB has visible digital and payment capabilities. The accepted analysis did not treat those capabilities as proof of a complete reusable operating model or production readiness.

3. Institutional question

Public-finance services require more than financial movement. The responsible institutions must preserve public authority, fund character, participant basis, conditions, approvals, execution status, unresolved outcomes, evidence, and reconciliation.

The question is whether PVB should evaluate one reusable governed operating Capability through which selected public-finance services can be defined and supervised without reconstructing the same operating disciplines for each workflow.

4. Proposed Capability

The Program would establish one maintained operating foundation connecting:

- authorized public purpose and instruction;
- PVB banking service and responsibility;
- recognized and reserved operational resources;
- participants, conditions, approvals, and evidence;
- approved execution and settlement capability;
- exceptions and unresolved outcomes; and
- reconciliation and continuing institutional governance.

Government entities would retain public authority and accountability. PVB would retain banking authority, custody, accounts, infrastructure, data, credentials, providers, production decisions, settlement relationships, records, and readiness.

The Capability would not create public authority, custody, government selection, deposits, settlement access, readiness, or commercial return.

5. Primary discovery candidate

The Program identifies bounded public-assistance disbursement as the strongest first discovery candidate.

The basis is PVB's disclosed student-allowance pilot with Parañaque and financial-assistance relationship with BARMM. The recommendation is limited to discovery because the public record does not establish current authority, active status, account structure, participant data, scale, operating evidence, exception treatment, reconciliation, or readiness.

Public collections remain a secondary candidate. Veterans' benefits and government or military payroll remain strategically important later candidates. No production ceremony has been selected.

6. Matters requiring Management validation

Management validation should establish:

1. current Board priority, sponsor, scope, authority, resources, and risk appetite;
2. current capital, regulatory, acquisition, and operating-capacity conditions;
3. active public-finance relationships and a suitable public counterpart;
4. legal authority, source and character of funds, accounts, custody, and segregation;
5. participant basis, identity, data authority, conditions, approvals, and evidence;
6. current systems, providers, interfaces, operating sovereignty, security, and recovery;
7. execution status, exceptions, reversals, disputes, and support;
8. reconciliation, accounting, reporting, records, and audit requirements;
9. preliminary costs, provider charges, internal effort, and public value; and
10. the evidence required before any later implementation decision.

7. Governance boundary

Board authority would begin evaluation. Management would name accountable leaders and involve Business, Operations, Treasury, Technology, Risk, Compliance, Legal, Information Security, Privacy, Finance, Accounting, Internal Audit, and other responsible functions.

The relevant public entity would retain program authority, participant basis, funding authority, conditions, reporting, and public accountability.

Technology and service providers would perform only approved roles. They would not become PVB, the public entity, custodian, settlement authority, auditor, or production decision-maker.

8. Required return to the Board or delegated authority

Management should return with:

- a confirmed institutional purpose and sponsor;
- validated public and banking authority;
- current financial, regulatory, and resource conditions;
- a defined candidate ceremony and responsible public counterpart;
- current-state and proposed operating boundaries;
- governance and operating-sovereignty model;
- preliminary economic assessment;
- readiness dependencies and unresolved risks; and
- the precise next decision requested.

9. Proposed resolution

Subject to the Board's established governance and legal form, the intended decision may be recorded substantially as follows:

> The Board authorizes Management to validate the Philippine Veterans Bank Modernization Program and assess whether one bounded public-assistance disbursement ceremony is suitable for detailed design. Management shall preserve the authority of the responsible public entity and PVB, validate the material Unknowns identified in the Program, and return with evidence and a separate recommendation before any implementation, procurement, contracting, integration, production, settlement, public-program, or commercial commitment is considered.

This illustrative wording is provided solely as a decision aid. It is not legal advice, does not replace PVB's formal governance process, and should be adapted by PVB through its legal counsel, Corporate Secretary, and established Board procedures.